# Unilever in the Global Economy

## 2020–2025

Speaker 1
**Globalisation**

Speaker 2
**Regional Integration**

Speaker 3
**MNEs from Advanced Economies + CSR**

Speaker 4
**FDI**

BUSI 1763 Dynamics of Global Business · Group presentation

# Our mind map

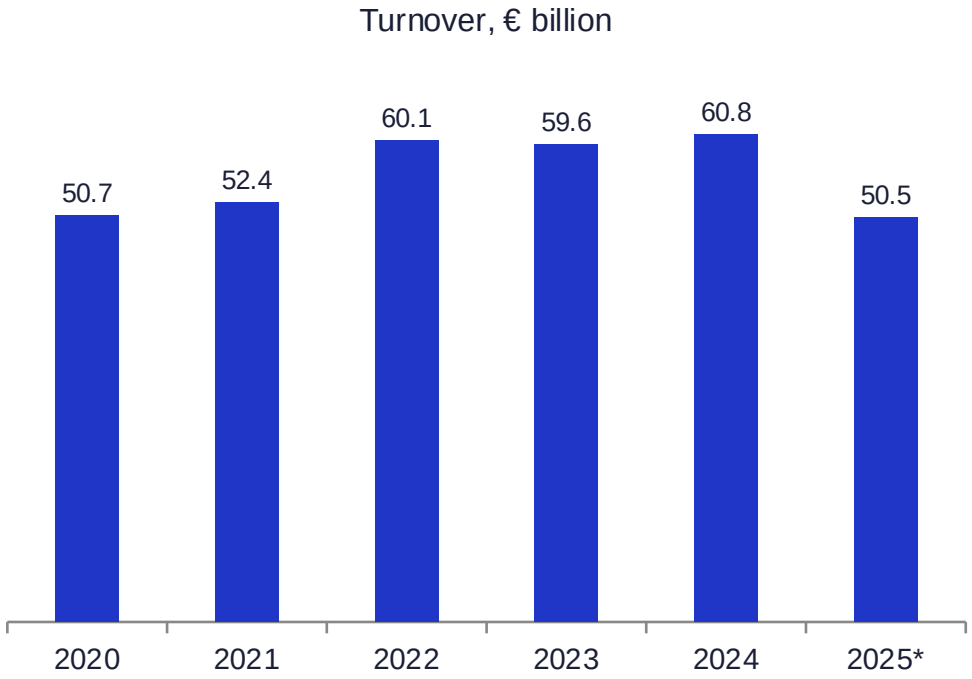
*Four branches, one company, one period: 2020–2025*




Sources: Unilever PLC Annual Reports on Form 20-F 2020–2025; UNCTAD World Investment Report 2025; US Census Bureau; USTR; full Harvard references on our presentation slides.

# Unilever at a glance, 2020–2025

*UK-based consumer goods MNE: beauty, personal care, home care, food*




**2025 excludes Ice Cream (demerged December 2025); 2024 on the same basis: €52.5bn.*

**59%** of turnover from emerging markets (Jan–Dec 2025)

**~190** countries where its brands are sold (Dec 2024)

**3.4bn** people use its products every day (Dec 2024)

**118k** average employees in 2025 (150k in 2020)

Sources: Unilever PLC (2021a; 2026a; 2026b).

# Globalisation: one world market?

*Levitt (1983), drivers and the global–local balance (Lecture 1)*

**Globalisation: economies, businesses and societies become more connected through trade, investment, technology and culture. Levitt (1983): firms can sell standardised products to one world market.**

## Five drivers (★ = our focus)

- ★ Political: trade agreements, lower barriers
- ★ Technology: digital, AI, e-commerce
- Market: global customers
- ★ Cost: cheaper shipping and logistics
- Competition: global rivals

## Benefits vs costs

- Benefits: bigger markets, economic growth
- Costs: inequality, environmental impact, supplier dependence

## Global vs local

- Standardise: one global brand (Levitt)
- Localise: local tastes and buying power
- Transnational: global efficiency + local responsiveness

Sources: Levitt (1983); University of Greenwich (2026a).

# Unilever: global scale, local markets

*One parent company, strong global brands, local responsiveness (2020–2025)*

| Date | What happened | Impact on Unilever |
|---|---|---|
| **Nov 2020** | Anglo-Dutch dual structure ends: one parent company, Unilever PLC | More flexibility to invest across borders and reshape its portfolio |
| **2020–2025** | Shares R&D, technology, purchasing and marketing across countries | Economies of scale; less duplication |
| **Jan–Dec 2025** | Turnover €50.5bn; 59% from emerging markets (e.g. India, Brazil, China) | Growth depends on emerging markets |
| **Jan–Dec 2025** | 30 Power Brands (e.g. Dove, Vaseline, Rexona) = 78% of turnover | Focus on its strongest global brands |
| **2020–2025** | Dove: one global brand identity; product ranges and marketing adapted to local needs | Transnational strategy: global efficiency + local responsiveness |

**So what?** Unilever gains from global scale and local responsiveness, but faces exchange-rate, geopolitical, environmental and supply-chain risks.

Sources: Unilever PLC (2021a; 2026a; 2026b).

# Regional integration: Mexico and USMCA

*Lecture 2 · Focus country: Mexico*

**Countries in a region remove barriers between them, step by step. USMCA is level 1: a free trade area.**

## Five levels

- Free trade area ← USMCA
- Customs union
- Common market
- Economic union
- Political union

## Effects

- Trade creation: more trade between members
- Trade diversion: from a cheaper outside country to a member

## USMCA in brief

- US, Mexico and Canada; replaced NAFTA in Jul 2020
- Zero tariffs if rules of origin are met
- Mexico = US's No. 1 trading partner (Jan–Dec 2023, $799bn goods trade)

Sources: University of Greenwich (2026b); USTR (n.d.); US Census Bureau (2024).

# Mexico: Unilever's door to North America

*May 2025: Unilever calls Mexico one of its 10 largest markets (7,000+ employees)*

| Date | What happened | Benefit for Unilever |
|---|---|---|
| **Jul 2020** | USMCA enters into force (replaces NAFTA) | Qualifying goods made in Mexico enter the US and Canada with no tariffs |
| **Feb 2023** | New beauty & personal care plant in Nuevo León (near the US border) announced: $400m | Low-cost production next to the US market |
| **Mar 2025** | US 25% tariff on Mexico (4 Mar); USMCA-qualifying goods exempted (6 Mar) | Meeting USMCA rules of origin protects Unilever from tariffs |
| **Apr 2025** | Plant investment doubled to $800m; Unilever says it is mainly for exports to the US and Canada | Supplies the US, Unilever's biggest market (€10.5bn turnover, Jan–Dec 2025); plant still being built |

**So what?** USMCA makes Mexico a low-cost, tariff-free base for the US. Limit: only ~half of US imports from Mexico qualified in Jan–Dec 2024.

Sources: USTR (n.d.); MND Staff (2025); Fortune (2025); Bloomberg Línea (2025); Unilever PLC (2026a).

# MNEs from advanced economies + CSR

*Lecture 4: MNE goals vs host-country goals*

**An advanced-economy MNE goes abroad to use advantages it already has. Its goals and the host country's goals can clash.**

## MNE goals

- High returns
- More sales
- Lower costs
- Share risk
- Better technology

## Host-country goals

- Jobs and growth
- Technology
- Control of the economy
- A fair share of profits
- Clean environment

## When they clash

- Creeping expropriation: new taxes and rules
- Profits leaving the country
- CSR = the MNE's "licence to operate"

Sources: University of Greenwich (2026c).

# Unilever: British advantages, local partners

*Brands and R&D from home; shared ownership abroad*

| Date | What happened | Impact on Unilever |
|---|---|---|
| Jan–Dec 2024 | R&D spending: €987m | Technology and brands: ownership advantages from an advanced economy |
| Mar 2024 | Productivity programme: about 7,500 office jobs to go | 4,300 jobs gone by Dec 2024: profit vs host-country employment |
| Oct 2024 | Russian business sold, after staying since Mar 2022 | Protected assets, but clashed with home and host politics |
| Dec 2024 | Local listed subsidiaries: India 61.9%, Indonesia 85%, Nigeria 76% | Local investors share profits; lowers political risk |
| Dec 2025 | 30 Power Brands make 78% of turnover (Jan–Dec 2025) | Global brands are the core of its advantage |

**So what?** Unilever's advantages come from home, but it must balance profit with host-country jobs and politics.

Sources: Unilever PLC (2025a; 2025b; 2026a; 2026b).

# Sustainability & CSR: progress and setbacks

*CSR framework: the Unilever Compass (from Mar 2021)*

| Date | What happened | What it means for Unilever |
|---|---|---|
| Jun 2020 | Makes a long-term promise to reach net zero emissions; €1bn Climate & Nature Fund | Long-term climate goal for the whole value chain |
| May 2021 | Shareholders approve its Climate Transition Action Plan (99.59%) | Strong investor support |
| Jan 2022 | Fund manager Terry Smith: Unilever has "lost the plot" over purpose | Criticism: purpose vs profit |
| Dec 2023 | UK CMA investigates its green claims; case closed Nov 2024 after Unilever changed some claims | Greenwashing risk to its brands |
| Apr 2024 | Plastic target lowered (it had planned to halve virgin plastic by 2025) | Setback: only −29% by Dec 2025 |
| Dec 2025 | Own-operation emissions −77% vs 2015 | Progress on climate |

**So what?** CSR keeps Unilever's licence to operate, but missed targets bring greenwashing claims. Key question: can it keep its climate promises?

Sources: Unilever PLC (2021a; 2021b; 2025a; 2026a); FoodNavigator (2022); Grocery Gazette (2024).

# FDI: why and how firms invest abroad

*Lecture 3 · Focus country: United States*

**FDI: a company owns and controls a business in another country, by building it (greenfield) or buying it (M&A).**

## OLI model (Dunning)

- O – Ownership: brands, technology, money
- L – Location: big market, low costs
- I – Internalisation: own it, do not license it

## Four motives

- Market-seeking
- Resource-seeking
- Efficiency-seeking
- Strategic asset-seeking

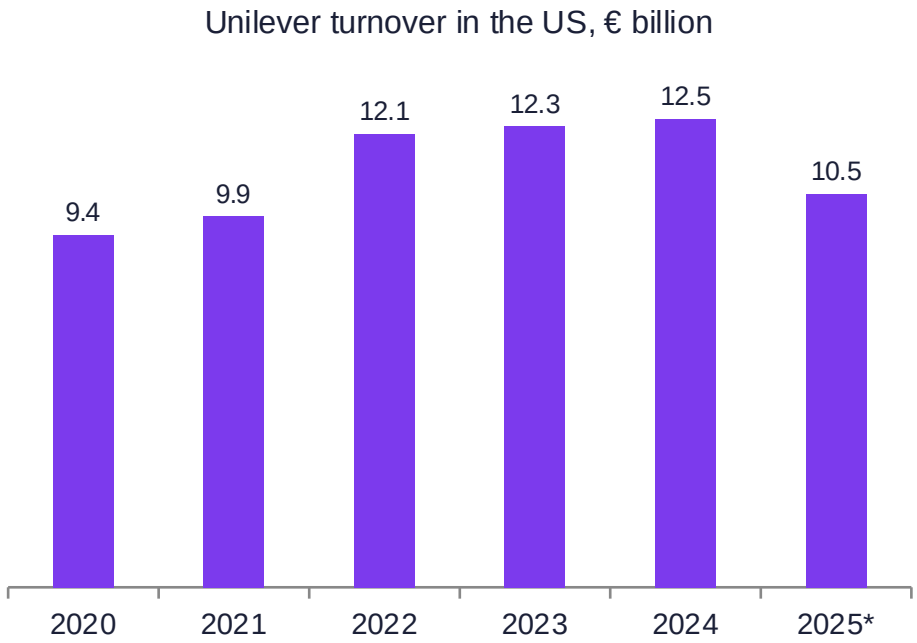
## Two modes

- Greenfield: build new; slower, full control
- M&A: buy; faster, but expensive and hard to integrate

Sources: Dunning (1988); University of Greenwich (2026d).

# Why the United States? Unilever and OLI

*The US: world's largest FDI host ($279bn in Jan–Dec 2024) and Unilever's biggest market*




**2025 excludes Ice Cream (demerged Dec 2025); 2024 on the same basis: €10.4bn. Each bar = Jan–Dec.*

**O · Ownership**
Global brands, money and worldwide distribution

**L · Location**
Biggest market; many premium and online shoppers

**I · Internalisation**
Buys and owns the brands, so it controls them and their customers

Sources: Unilever PLC (2022; 2023a; 2024; 2025a; 2026a); UNCTAD (2025).

# Unilever in the US: what each deal brought

*Mainly M&A = strategic asset-seeking: brands, customers, online skills*

| Date | What happened | Benefit for Unilever |
|---|---|---|
| **Aug 2021** | Paula's Choice (skincare, sells online), 100%, €1.83bn | Online sales skills; premium (Prestige) beauty grew by more than 10% in Jan–Dec 2022 |
| **Jul 2022** | Nutrafol (hair wellness): stake raised to 80% for €811m | Helped Wellbeing grow by more than 10% in Jan–Dec 2025 |
| **Feb 2024** | K18 (premium hair care), 91.88% | Grew by more than 10% in Jan–Dec 2024 |
| **Sep 2025** | Dr. Squatch (men's personal care), 98.7%, €1.24bn | Moves Unilever into "premium and high-growth spaces" |
| **Dec 2024** | 70% of US Beauty & Wellbeing sales now from Prestige and Wellbeing brands | Faster growth from premium brands |
| **Dec 2025** | North America underlying sales growth 5.3% (Jan–Dec 2025) | Good results in its biggest market |

**So what?** Buying US premium brands gave Unilever growth, online skills and a stronger base in its biggest market. Risk: US premium beauty slowed in 2024.

Sources: Unilever PLC (2022; 2023b; 2024; 2025a; 2026a; 2026b).

# Conclusion: smaller, but more focused

*What our four theories tell us about Unilever, 2020–2025*

| | |
|---|---|
| **Globalisation** | Global brands (Power Brands = 78% of turnover) and emerging markets (59%) drive growth; Unilever balances global efficiency with local needs. |
| **Regional Integration** | Mexico + USMCA: a low-cost, tariff-free base to supply the US, Unilever's biggest market. |
| **MNEs from Advanced Economies + CSR** | Brands and R&D are its advantages; on CSR, progress on climate but setbacks on plastics; conflicts over jobs and Russia. |
| **FDI** | US FDI (mainly M&A) bought premium brands and online skills, and grew Unilever in its biggest market. |

***From 2020 to 2025, Unilever became smaller, but more focused on beauty, personal care and fast-growing markets.***

# Thank you

Questions are welcome

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# Declaration of AI Use

*Instructions to students:*

*Misuse of AI is a serious academic offence. You MUST append this page to the end of your assignment when you have used AI during the process of undertaking the assignment in order to acknowledge the ways in which you have used it.*

We have used AI while undertaking our assignment in the following ways:

To develop research questions on the topic: NO

To create an outline of the topic: YES

To explain concepts: YES

To support our use of language: YES

To summarise the following articles/resources: Unilever annual reports and results 2020–2025; UNCTAD (2025); news sources listed in our references: YES

In other ways, as described below: YES

- AI was used to help design the slides and the mind map, and to draft and simplify parts of the speaker scripts, based on our own choices of company, theories and examples
- AI was used to check facts, dates and figures against Unilever's annual reports and other sources
- AI was used to check academic English and grammar
- The final slides, scripts and references were reviewed by the group before submission

**Module Code and Module Title: BUSI 1763 Dynamics of Global Business and Practices**

**Assignment Title: Mind-Map Poster and Group Presentation**

Group members (LSBF Student ID / UOG Banner ID):

Speaker 1: _____ / _____

Speaker 2: _____ / _____

Speaker 3: _____ / _____

Speaker 4: